

INSURANCE AND PENSIONS COMMISSION

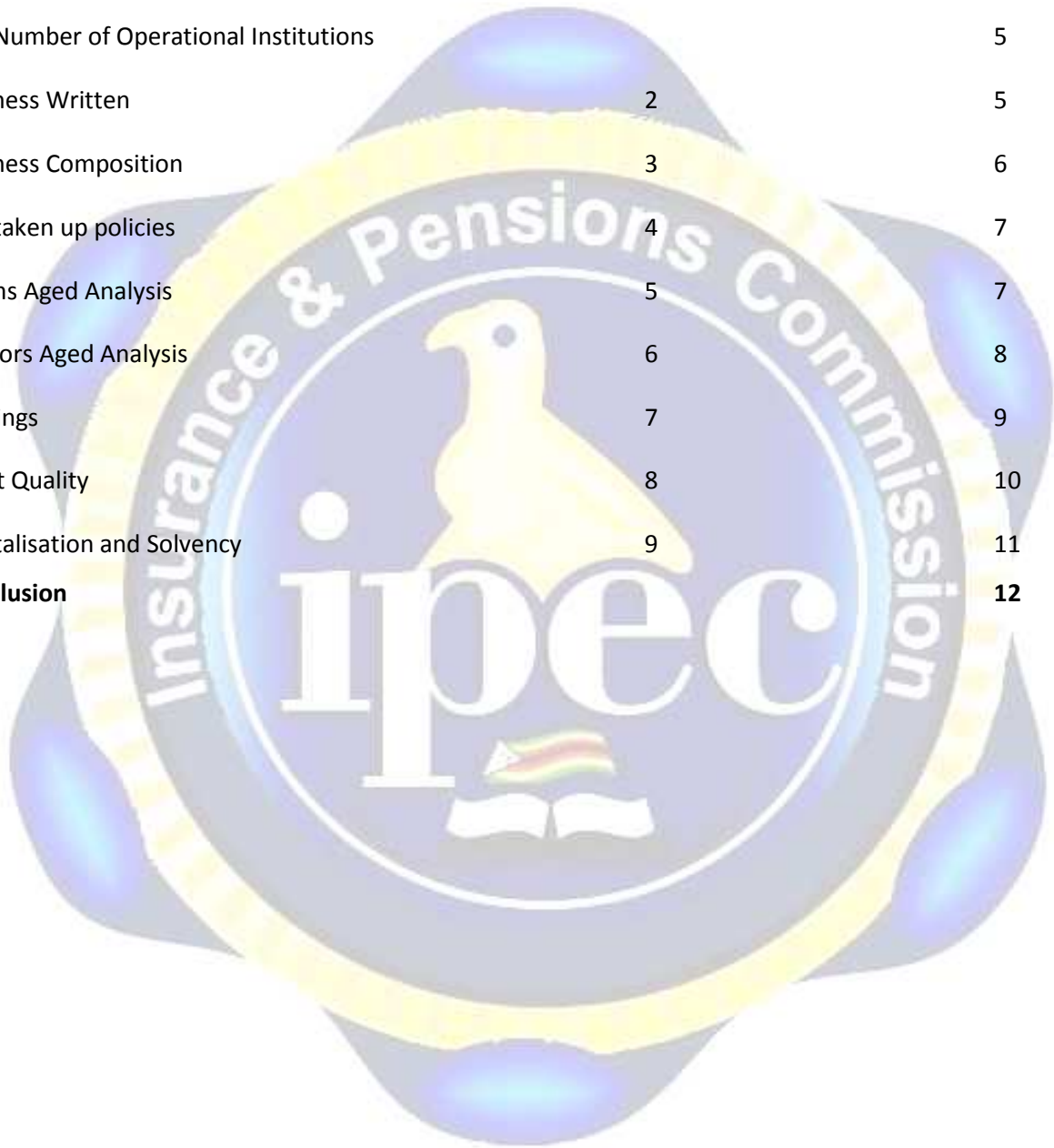


THIRD QUARTER REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 30 SEPTEMBER 2012

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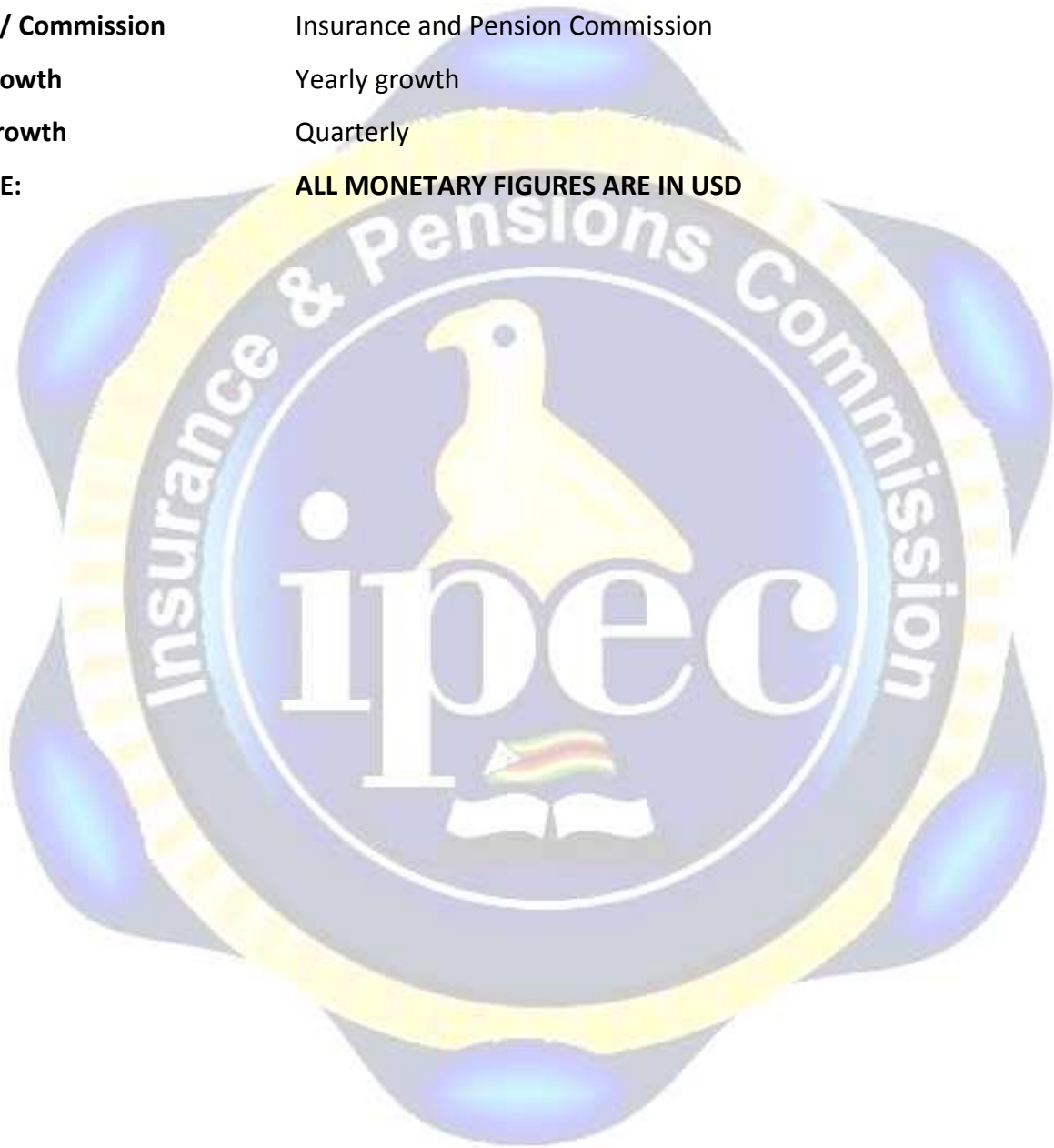
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

This report is based on 11 players.

The industry wrote gross premiums in the sum of \$42million, a 158% growth from figures reported in the prior quarter. The retention ratio continued to be 100% though claim costs and other expenses outgrew premium income streams by 11% on net basis, an indicator for the need to spread risks via reinsurance and cost rationalization. Nevertheless the industry realized \$9million in technical profit with an expense ratio of 34% and combined ratio of 78% (June 2012:\$4million).

Total assets rose by 17% to close the quarter at \$61million from \$52million for the quarter ended 30 June 2012. Compliance with the prescribed asset ratio continued to be a challenge for the industry.

The capital to liability (solvency) ratio was 86%. (See Table 1, below).

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Financial Aspect	Funeral Assurers		
	Jun 2012	Sept 2012	Growth
Gross Premiums Written(\$000)	16,329	42,131	158%
Net Premiums Written (\$000)	16,329	42,131	158%
Retention Ratio	100%	100%	-
Total Gross Claims (\$000)	4,113	18,748	356%
Total Net Claims (\$000)	4,113	18,748	356%
Management Expenses (\$000)	6,535	10,943	67%
Commissions (\$000)	1,583	3,235	104%
Total Costs(\$000)	12,231	32,926	169%
Technical Profit	4,098	9,205	125%
Expense Ratio (%)	48%	34%	(14%)
Combined Ratio	75%	78%	3%
Total Assets (\$000)	51,874	60,780	17%
Total Liabilities (\$000)	-	32,613	-
Free Capital(\$000)	-	28,167	-
Capital to liability Ratio	-	86%	-
Prescribed Assets (\$000)	-	204	-
Prescribed Asset Ratio (%)	-	0%	-

4.0 Update on Number of Operational Institutions

This report is based on 11 players.

5.0 Business Written

Funeral companies wrote net premiums of \$42million during the period under review. This reflected a 158% growth from the prior quarter and 170% year on year growth. This firm growth path confirms public confidence in the funeral assurance industry underlined by the funeral industry's general ability to honour claims including on pre-dollarisation paid up policies. (See Table 2 below).

Table 2: Premium Distribution by Company as at 30 September 2012

Name of Funeral Company	NPW (\$000)				Yearly Growth
	Jun-12	Sep-12 (%)	Q- Growth	Sep-11	
Cell	938	979	4%	921	6%
Doves	2,160	3,391	57%	829	309
Fidelity	1,229	1,887	54%	680	178%
First Funeral	1,828	3,428	88%	1,373	150%
Foundation	200	184	(8%)	248	(26%)
Moonlight	2,307	6,949	201%	3,296	111%
Nyaradzo	6,787	24,069	255%	7,901	205%
Passion	391	442	13%	52	750%
Ruvimbo	135	246	82%	90	173%
Sunset	38	50	32%	0	0%
Vineyard	316	506	60%	215	135%
Total	16,329	42,131	158%	15,605	170%

6.0 Business Composition

Reported figures illustrate that funeral companies had 98% of business written being of a recurring nature with the balance being new business. This proves the organic growth of business for instance due to active members adding on new beneficiaries or upgrade of existing policies in order to access superior benefits.

For the quarter under review, 69% of business written was composed of corporate schemes with the balance being individual clients. This scenario was heavily influenced by the business portfolios of the top 2 players without which individual lines business would be more dominant among the rest of the players(See Table 3,below).

Table 3: Business Composition by Company for the quarter ended 30 September 2012

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums			June 2012	Sept 2012	Growth (%)
	June 2012	Sept 2012	Growth (%)	June 2012	Sept 2012	Growth (%)	June 2012	Sept 2012	Growth (%)	June 2012	Sept 2012	Growth (%)			
Cell	*	2	-	*	114	-	*	0	-	*	862	-	-	979	-
Doves	*	-	-	*	3,391	-	*	-	-	*	-	-	-	3,391	-
Fidelity	*	91	-	-	1,796	-	*	0	-	*	0	-	-	1,887	-
First Funeral	*	92	-	*	3,336	-	*	0	-	*	0	-	-	3,428	-
Foundation	*	-	-	*	184	-	*	-	-	*	-	-	-	184	-
Moonlight	*	251	-	*	775	-	*	214	-	*	5,960	-	-	6,949	-
Nyaradzo	*	178	-	*	1,821	-	*	89	-	*	21,980	-	-	24,069	-
Passion	*	2	-	*	35	-	*	14	-	*	392	-	-	442	-
Ruvimbo	*	-	-	*	246	-	*	-	-	*	-	-	-	246	-
Sunset	-	-	-	*	50	-	*	-	-	*	-	-	-	50	-
Vineyard	*	8	-	*	506	-	-	-	-	*	-	-	-	506	-
TOTAL		624	-	*	12,254	-	-	317	-	*	29,194	-	-	42,131	-

7.0 Not-taken Up policies and Lapsed Policies

For the quarter ended 30 September 2012, funeral assurers reported not-taken up policies whose gross premiums were \$79 000. Given reported gross premiums of \$42 million, this reflects a ratio of less than 1% of written business.

Players also reported varying lapse ratios. High ratios are a red flag for possible cases of mis-selling or switching which are serious offences which warrant prohibitive penalties (See Table 4, below).

Table 4: Not-taken Up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	0	87	75
Doves	0	0	0
Fidelity	4	45	0
First Funeral	40	3	0
Foundation	1	-	0
Moonlight	34	13	34
Nyaradzo	0	33	18
Passion	0	0	0
Ruvimbo	0	1	0
Sunset	0	0	0
Vineyard	0	10	8
Total	79	n/a	n/a

8.0 Claims Aged Analysis

Funeral companies reported outstanding claims amounting to \$9million all of which were current reflecting prompt claim settlement which promotes industry reputation to key stakeholders especially the policyholders and the regulator. (See Table 5 below).

Table 5: Claims Aged Analysis

Name of Company	Cell	Doves	Fidelity	First Funeral	Foundation	Moonlight	Nyaradzo	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	22	-	109	986	16	495	7,395	6	-	-	-	9,023
31-60days(000)	-	-	-	-	-	-	-	-	-	-	-	-
61-90days (000)	-	-	-	-	-	-	-	-	-	-	-	-
91-120days (000)	-	-	-	-	-	-	-	-	-	-	-	-
<121 days (000)	-	-	-	-	-	-	-	-	-	-	-	-
Reinsurance (000)	-	-	-	-	-	-	-	-	-	-	-	-
Total	22	-	109	986	16	495	7,395	6	-	-	-	9,023

9.0 Debtor Aged Analysis

For the period under review, players reported outstanding premium collections of \$2 million. Given written premiums of \$42million, the industry realized a 95% collection rate which is high given liquidity challenges obtaining in the economy. Such high premium collection rates reduce incidences of exaggerating financial soundness and performances by players (See Table 6,below).

Table 6 : Debtors Aged Analysis

Name of Company	Cell	Doves	Fidelity	First Funeral	Foundation	Moonlight	Nyaradzo	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	5	6	60	-	-	25	458	30	-	-	32	616
31-60days(000)	-	5	17	-	-	15	450	26	-	-	6	519
61-90days (000)	-	3	14	-	-	10	424	21	-	-	73	545
91-120days (000)	-	3	-	-	-	9	-	77	-	-	61	150
<121 days (000)	-	5	77	-	-	16	-	31	-	-	9	138
Total (000)	5	22	168	-	-	75	1,332	185	-	-	181	1,968

10.0 Earnings

The cost and income figures for the quarter ended 30 September 2012 in respect of the funeral assurance industry was as shown in Table 7 below.

Table 7: Key Earnings Indicators By Company for the Quarter ended 30 June 2012

Co. Name	NPW(000)	Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)					Combined Ratio		
	Sep-12	Jun-12	Sep-12	Growth	Jun-12	Sep-12	Growth	Jun-12	Sep-12	Growth	Sep-11	Jun-12	Sep-12	Q-Growth	Y-Y Growth	Sep-11	Jun-12	Sep-12
Cell	979	4	22	450%	0	3	-	407	695	41 %	216	411	720	405%	165%	47%	66%	74%
Doves	3,391	711	1,177	66%	144	220	53%	773	779	1 %	1760	1,628	2,176	-43%	-39%	83%	60%	64%
Fidelity	1,887	70	109	56%	236	-	-	419	1,021	144%	274	725	1,130	56%	312%	77%	64%	60%
First Funeral	3,428	492	991	50%	236	371	36 %	830	1,310	58 %	1,727	1,556	2,672	72%	55%	96%	87%	78%
Foundation	184	20	31	55%	34	21	(38%)	118	176	49%	133	172	228	33%	71%	120%	100%	124%
Moonlight	6,949	197	841	327%	322	828	157%	1,606	2,729	70 %	2,214	2,126	4,398	107%	99%	94%	40%	63%
Nyaradzo	24,069	2,520	15,344	509%	548	1,717	213%	1,890	3,610	91%	8,616	4,958	20,671	121%	285%	178%	66%	86%
Passion	442	33	80	142%	6	0	-	184	152	(17%)	237	223	232	4%	(2%)	149%	57%	52%
Ruvimbo	246	18	40	21%	3	10	233%	119	192	61%	24	140	242	73%	908%	62%	69%	98%
Sunset	50	0	3	-	3	4	33%	32	29	(9%)	-	35	36	3%	-	0%	94%	72%
Vineyard	506	48	110	129%	49	61	24%	157	250	59%	272	255	421	65%	55%	67%	81%	
Total	42,131	4,113	18,748	356%	1,583	3,235	104%	6,535	10,943	67%	15,473	12,231	32,926	169%	113%	129%	75%	78%

For the period under review, players reported the cost distribution as administration {33%, June 2012:53%}, claims {57%, June 2012:34%} and commission {10%, June 2012:13%}. The industry's average combined ratio was 78%.Cost cutting continues to be a critical survival issue given the depressed investment returns and outlook.

11. Asset Quality

Funeral assurance companies reported their total assets as illustrated in table 8 below.

Table 8: Funeral industry Asset bases as at 30 September 2012

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)				
	Jun 12	Sept 12	Var	Jun 12	Sept 12	Var	Jun 12	Sept 12	Var	Jun 12	Sept 12	Var	Jun 12	Sept 12	Var %	Jun 12	Sept 12	Ratio	Sept 11	Jun 12	Sept 12	Q-Var	Y-Var
Cell	241	241	0%	12	12	-	0	526	-	826	169	-80%	581	-	-	-	51	5%	1,084	1,659	999	-60%	-13%
Doves	1,245	1,968	58%	57	57	0%	6,252	149	-98%	60	197	228%	2,991	8,265	176%	-	18	0	9,779	10,604	10,654	0%	9%
Fidelity	125	129	3%	453	437	-4%	935	1,287	38%	23	67	191%	220	520	136%	-	-	-	1,431	1,995	2,440	22%	71%
First Funeral	672	977	45%	15	0	7%	182	0	-	23	31	35%	1,467	1,886	29%	-	135	21%	1,782	2,358	3,029	28%	70%
Foundation	1002	1,062	6%	0	0	0%	250	96	-62%	16	259	1519%	65	-	-100%	-	-	-	1,246	1,333	1,417	6%	14%
Moonlight	5,510	6,887	25%	0	0	0%	10	10	-	0	60	0%	5,883	3,255	-1	-	-	-	6797	11,801	10,212	13%	-51%
Nyaradzo	3,490	11,380	219%	128		0%	819	1,080	32%	2,234	2,421	8%	12,116	13,243	9%	-	-	-	8,062	19,372	28,124	45%	249%
Passion	0	209	0%	0	0	0%	158	0	-1	-20	26	30%	79	538	581%	-	-	-	333	217	773	256%	132%
Ruvimbo	300	961	220%	0	0	0%	280	288	3%	1	2	100%	649	10	-98%	-	-	-	1,310	1,230	1,261	3%	-4%
Sunset	337	1,044	210%	0	0	0%	0	0	0	1	9	800%	0	-	-	-	-	-	0	491	1,053	106%	0%
Vineyard	244	519	113%	3	3	-	5	28	460%	42	26	-39%	520	242	-53%	-	-	-	595	814	818	0%	38%
Total	13,166	25,377	93%	668	509	-24%	8,891	3,464	-61%	3,305	3,267	-7%	24,624	27,959	14%	-	204	0	32,419	51,874	60,780	17%	87%

Asset categories for the current reporting period were in properties {42% or \$25million, June 2012:25%}, equities {1% or \$0,5million, June 2012:1%}, money market {6% or \$3million, June 2012:17%}, cash assets {6% or \$3million, June 2012:6%} and other assets {46% or \$28million, June 2012:47%}.

Prescribed Assets - There is an apparent non-compliance by the funeral industry to statutorily invest 7.5% of their total assets in prescribed securities. As more government paper is floated and government guaranteed corporate bonds are floated on the market, players are

encouraged to participate both as safe investment paper and to fulfill regulatory requirements. Appropriate penalties will be levied to ensure compliance.

12. Capitalization and Solvency

All funeral assurers were adequately capitalized in excess of \$400 000 as prescribed by Statutory Instrument 189 of 2009. However, proof of capital must be available on demand in our on-going onsite visits failure of which players will be penalized in terms of the act.

To determine solvency estimates we have computed the ratio of net capital to liability ratio to demonstrate the safety margin per each dollar of liability. A ratio which is less than 100% indicates that the player's capital position was outweighed by its liabilities. This is at variance with the dictates of risk based capital model which will succeed current capital requirement regimes in the near future. In line with international best practices, players are therefore encouraged to proactively embrace such trends.

Reported figures reflected that funeral companies had combined capital which is 86% of their liabilities (See table 6 below).

Table 9: Levels of Capitalization

Name of Company	Cell	Doves	Fidelity	First Funeral	Foundation	Moonlight	Nyaradzo	Passion	Ruvimbo	Sunset	Vineyard	Total
Total Assets(\$000)	999	10,654	2,440	3,029	1,417	10,212	28,124	773	1,261	1,053	818	60,780
(Total Liabilities)(\$000)	253	929	492	526	814	7,867	20,601	238	536	111	246	32,613
Capital (Net Assets) (\$000)	746	9,725	1,948	2,503	603	2,345	7,523	535	725	942	572	28,167
Net Premium Written	979	3,391	1,887	3,428	184	6,949	24,069	442	246	50	506	42,131
Capital to Liability Ratio	295%	1049%	396%	476%	74%	30%	37%	225%	135%	849%	233%	86%
Capital to Net Premium Ratio	76%	287%	103%	73%	328%	34%	31%	121%	295%	1884%	113%	67%

Conclusion

Reported figures are indicative of a growing industry which is beneficial to all key stakeholders. The Commission encourages or otherwise requires players to adhere to cited corrective or proactive measures to ensure not only compliance but also to embrace sound risk management principles.

